Infrastructure Finance Corporation (**IIFCL**) will offer credit enhancement to infrastructure companies that wish to access the bond market to tap long term funds. Some institutions will be allowed to issue tax - free bonds upto a total sum of Rs 50,000 crore (as against Rs 25,000 crore in 2012-13). Assistance of the World Bank and Asian Development Bank will be sought to build roads in the North Eastern States and connect them to Myanmar. The corpus of Rural Infrastructure Development Funds (**RIDF**) is proposed to be raised to Rs. 20,000 crore. A sum of Rs 5,000 crore will be made available to **NABARD** to finance construction of warehouses, godowns, silos and cold storage units designed to store agricultural produce.

The Minister informed that the newly set-up Cabinet Committee on Investment has held two meetings and taken decisions in respect of a number of oil and gas, power and coal projects. CCI will take up some more projects shortly, he said. The Minister also informed that a regulatory authority is being constituted for the road sector. Bottle – necks stalling road projects have been addressed and 3,000 km of road projects in Gujarat, Madhya Pradesh, Maharashtra, Rajasthan and Uttar Pradesh will be awarded in the first six months of 2013-14.

The Budget introduces an investment allowance for new high value investment. A company investing Rs. 100 crore or more in plant and machinery during the period 01.04.2013 to 31.03.2015 will be entitled to deduct an **investment allowance** of 15 percent of the investment (in addition to depreciation).

Industrial Sector

Plans for seven new cities have been finalized for **industrial corridors** and work on two new smart industrial cities at Dholera (Gujarat) and Shendra Bidkin (Maharashtra) will start during 2013-14. A comprehensive plan is being prepared for the Chennai Bengaluru industrial corridor. Preparatory work has started for the next corridor - Bengaluru Mumbai industrial corridor.

Two **new ports** will be established in Sagar (West Bengal) and in Andhra Pradesh. In addition, a new outer **harbour** will be developed in the VOC